

Glossary: Key Terms in English and Chinese

Key accounting terms for Chapters 8, 10, 11 and 12 and the financial statements.

The Chinese terms are common Simplified Chinese equivalents. Chinese-medium textbooks sometimes use different terms, so check them against your school's textbook and use your teacher's terms in tests.

General and financial statements

English	中文	Meaning	Chapter
Statement of Profit or Loss (SPL)	损益表	Shows income, expenses and profit for a period	FS
Statement of Financial Position (SOFPP)	财务状况表	Shows assets, liabilities and capital on one date	FS
Journal	日记账	Book of first entry where transactions are recorded in date order	All
Ledger	分类账	Book containing all the accounts	All
Folio	账页 / 过账页码	Reference to the page of the other book	All
Narrative	摘要说明	Short explanation under a journal entry	All
Balance carried down (c/d)	余额结转下期	Balance taken to the next period	All
Balance brought down (b/d)	余额承前	Balance brought from the last period	All
Trial balance	试算表	List of all balances to check debits equal credits	FS
Revenue	营业收入	Income from selling goods or services	FS
Sales returns	销货退回	Goods returned by customers	FS
Purchases returns	进货退出	Goods returned to suppliers	FS
Cost of sales	销货成本	Cost of the goods that were sold	FS
Gross profit	毛利	Net revenue minus cost of sales	FS
Profit for the year	本年利润	Gross profit plus other income minus expenses	FS
Carriage inwards	进货运费	Cost of bringing goods in from suppliers	FS
Carriage outwards	销货运费	Cost of delivering goods to customers	FS
Discount allowed	销货折扣	Discount given to customers for paying early	FS
Discount received	进货折扣	Discount received from suppliers for paying early	FS
Inventory	存货	Goods held for resale	FS
Capital	资本	Owner's investment in the business	FS
Drawings	提款	Money or goods taken by the owner for private use	FS
Working capital	营运资金	Current assets minus current liabilities	FS
Net assets	净资产	Total assets minus total liabilities	FS
Bank overdraft	银行透支	Bank balance owed to the bank	FS
Loan	贷款	Money borrowed, to be repaid later	FS

Chapter 8: Irrecoverable debts

English	中文	Meaning	Chapter
Trade receivables	应收账款	Credit customers who owe the business money	8
Trade payables	应付账款	Credit suppliers the business owes money to	8
Irrecoverable debt	烂账	A debt that will never be collected	8
Write off	冲销 / 注销	Remove a debt from the customer's account as an expense	8
Irrecoverable debts recovered	烂账收回	A debt written off earlier that is later paid	8
Allowance for irrecoverable debts	烂账准备	Estimate of debts that might not be paid	8
Bankrupt	破产	Unable to pay debts	8

Chapter 10: Non-current assets and depreciation

English	中文	Meaning	Chapter
Non-current assets	非流动资产	Assets used in the business for more than one year	10
Current assets	流动资产	Assets expected to be used or turned into cash within one year	10, FS
Tangible asset	有形资产	An asset you can touch	10
Intangible asset	无形资产	An asset you cannot touch, such as goodwill	10
Capital expenditure	资本支出	Spending on buying or improving non-current assets	10
Revenue expenditure	收益支出	Day to day running costs	10
Depreciation	折旧	Part of an asset's cost used up in a period	10
Provision for depreciation (accumulated depreciation)	累计折旧	Total depreciation charged since the asset was bought	10
Carrying amount (net book value)	账面价值	Cost minus accumulated depreciation	10
Residual value	残值	Expected value at the end of the asset's useful life	10
Useful life	使用年限	Number of years the asset is expected to be used	10
Straight line method	直线法	Same depreciation charge every year	10
Reducing balance method	余额递减法	Fixed percentage of the carrying amount each year	10
Revaluation method	重估法	Opening value plus purchases minus closing value	10
Obsolescence	过时 / 陈旧	Becoming out of date	10
Wear and tear	损耗	Loss of value through use	10
Disposal	处置	Selling or scrapping a non-current asset	10
Profit on disposal	处置利润	Sale proceeds greater than carrying amount	10
Loss on disposal	处置损失	Sale proceeds less than carrying amount	10

Chapter 11: Accruals and prepayments

English	中文	Meaning	Chapter
Accrued expense (accrual)	应计费用	Expense used but not yet paid	11
Prepaid expense (prepayment)	预付费用	Expense paid in advance for the next period	11
Accrued income	应计收入	Income earned but not yet received	11
Income received in advance	预收收入	Income received for a future period	11
Other receivables	其他应收款	Prepayments and accrued income in the SOFP	11
Other payables	其他应付款	Accruals and income in advance in the SOFP	11
Current liabilities	流动负债	Amounts due within one year	11, FS
Non-current liabilities	非流动负债	Amounts due after more than one year	FS

Chapter 12: Accounting concepts

English	中文	Meaning	Chapter
Business entity concept	企业个体概念	The business is separate from its owner	12
Duality concept	二重性概念 / 复式记账	Every transaction has two effects	12
Money measurement concept	货币计量概念	Only items with a money value are recorded	12
Historical cost concept	历史成本概念	Assets are recorded at their original cost	12
Going concern concept	持续经营概念	The business will continue trading	12
Realisation concept	实现概念	Revenue is recorded when it is earned	12
Accruals (matching) concept	应计 (配比) 概念	Income and expenses are matched to their period	12
Consistency concept	一致性概念	The same methods are used every year	12
Prudence concept	谨慎性概念	Assets and profit are not overstated	12
Materiality concept	重要性概念	Small items can be treated simply	12
Net realisable value (NRV)	可变现净值	Selling price minus costs to sell or repair	12
Relevance	相关性	Information helps users make decisions	12
Reliability	可靠性	Information is free from errors and bias	12
Comparability	可比性	Information can be compared across years and businesses	12
Understandability	可理解性	Information is clear to users	12